Maximizing Wrigley's Shareholder Value

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Executive Summary: Capitalizing on Market Premium to Lock in Shareholder Value

The Context

Current share price ($58) prices in perfection. Fundamental valuation suggests a correction is overdue.

$58

Current Market

The Opportunity

Mars stands to gain massive operational and global distribution synergies. We can monetize this value.

$50

Intrinsic Value

The Directive

Objective is to extract maximum value from Mars.

$72

Target Anchor

Insight: The market prices us for perfection; a sale to Mars monetizes that expectation.

Strategic Rationale: Mars Requires Wrigley to Achieve Global Dominance

Distribution Reach

Immediate access to mature networks in emerging markets (Asia & EMEAI).

Mars cannot replicate this infrastructure organically without years of delay.

Cost Optimization

Aggressive slashing of SG&A and optimization of COGS across combined confectionery lines.

Competitive Moat

Neutralizes threats from Hershey and Cadbury.

Cements Mars as the undisputed global leader in chocolate and non-chocolate confections.

Key Insight:

We are not just selling gum; we are selling Mars the keys to global category leadership.

The Valuation Disconnect Creates a Window of Opportunity

Current trading at $58 is unsupported by fundamentals ($50). We must sell to convert Mars' future synergy benefits into immediate cash.

Standalone Fundamentals Support Only ~$50 Per Share

Key Assumptions

WACC	7.67%
Terminal Growth Rate	2.5%
Free Cash Flow (Projection)	Stable

Enterprise Value

$14.72 Billion

Implied Share Price

$49.82

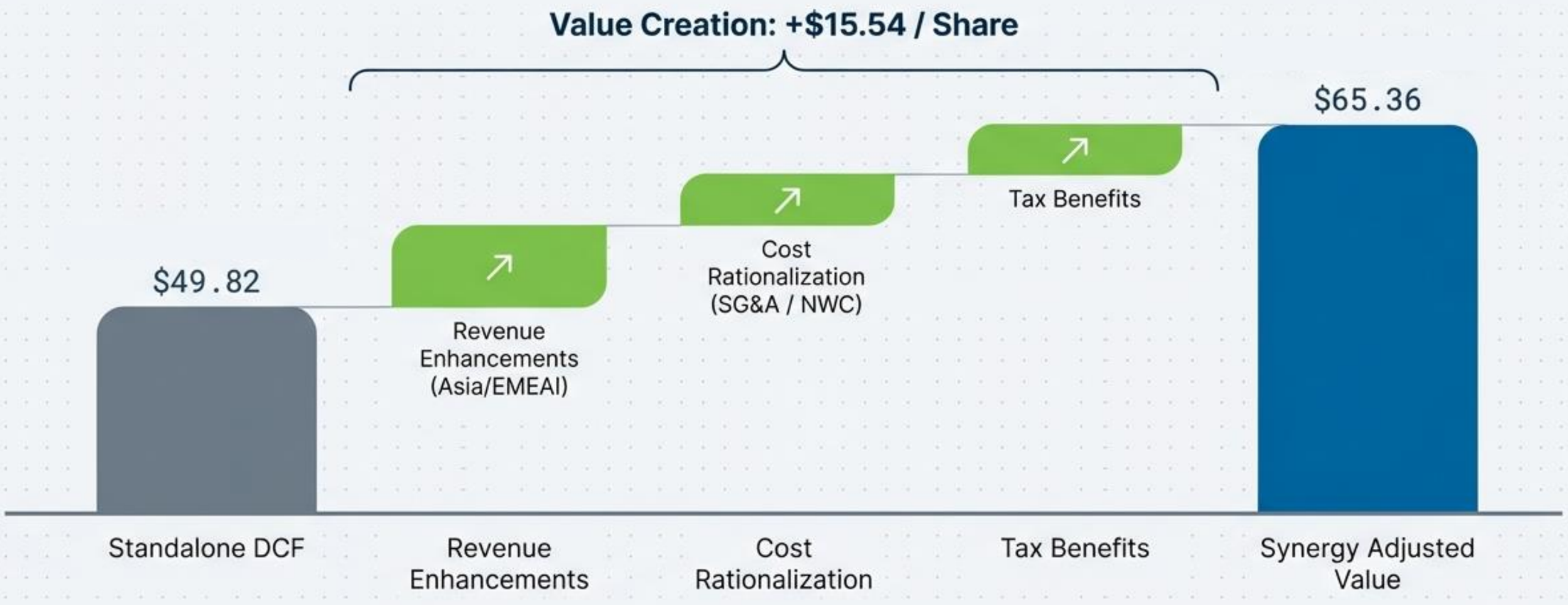
GAP ANALYSIS: Intrinsic Value ($49.82) is ~15% below Current Market Price ($57.66). The stock price is fragile.

Premium Trading Multiples Limit Upside Justification

Peer Benchmarking Analysis

Strategic Pivot: We have outpaced our peers (Cadbury, Kraft, Hershey). We cannot use historical multiples to drive the price up; we must pivot the negotiation entirely to future synergies.

Quantifying the $1.6B Synergy Prize



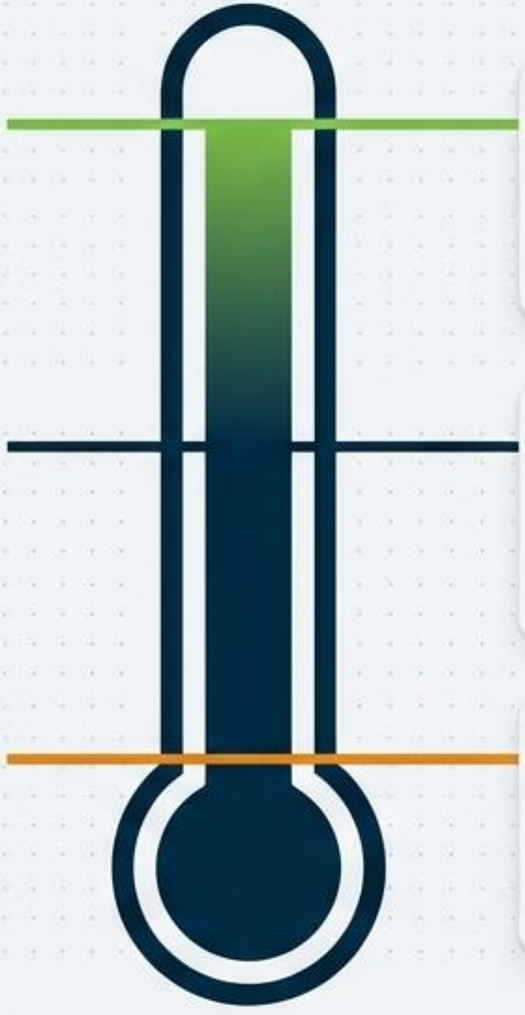
Mars realizes $15.54/share in value from this deal. Our negotiation goal is to claim the majority of this surplus.

Scenario Analysis: Implied Premiums at Key Price Points

	$62.00 (Base)	$65.00 (Target)	$72.00 (Anchor)
Premium vs DCF	+24.5%	+30%	+44%
Premium vs Market	+7.5%	~12%	High
Status	Acceptable	Ideal / Captures Value	Aggressive

Even our floor price ($62) secures a significant win over our intrinsic value.

Defining Our Negotiation Boundaries (ZOPA)



$72.00 - ANCHOR

Aggressive Opening. Captures all value.

$65.00 - WALK AWAY

The Line in the Sand. Transfers operational risk to Mars.

$62.00 - FLOOR

Absolute Minimum. Premium over trading.

Zone of Possible Agreement: $62 - $72

The effective negotiation range lies between the floor price and the anchor, representing the maximum value surplus.

Tactical Execution: Controlling the Dialogue

1. The Anchor

Open at $72. Emphasize global dominance only achievable via our distribution.

2. The Pivot

IF Mars cites DCF ($49) or Comps... THEN Deflect. Pivot to Synergies ($65+). Do not debate history; debate future value.

3. The Defense

Defend $65. Only drop to $62 floor if deal collapse is imminent.

Recommendation: Proceed to Anchor at $72

1. Market is currently overvaluing standalone Wrigley—we must sell to lock in this price.
2. Mars' synergies justify a price well above our fundamental value (**$49.82**).
3. Target close near **$65**, extracting full synergy value.

DECISION REQUIRED:

Authorize negotiating team to engage Mars with opening position of **$72** per share.